Interaction of demand & supply

Market equilibrium is where the demand and supply curves cross — the equilibrium price and quantity. There buyers buy, and sellers sell, exactly what they want, so there is no shortage or surplus. Above equilibrium = excess supply (surplus, price falls); below = excess demand (shortage, price rises). Any shift in demand or supply creates a new equilibrium.

Shifts and the new equilibrium

Change	Price	Quantity
Demand rises (right)	Up	Up
Demand falls (left)	Down	Down
Supply rises (right)	Down	Up
Supply falls (left)	Up	Down

Tip: for any scenario, decide whether it shifts demand or supply, which way, then read off the new price and quantity. The site has an interactive version of this diagram.